- Resources revenues increased 18% in local currency, driven by growth across all industry groups and geographic regions.

Geographic Regions

- North America revenues increased 9% in local currency, driven by the United States.
- Europe revenues increased 5% in local currency, led by Italy, the United Kingdom and Ireland.
- Growth Markets revenues increased 14% in local currency, driven by Japan, as well as Brazil and China.

Operating Expenses

Operating expenses for fiscal 2019 increased $1,816 million, or 5%, over fiscal 2018, and decreased as a percentage of revenues to 85.4% from 85.6% during this period.

Cost of Services

Cost of services for fiscal 2019 increased $1,401 million, or 5%, over fiscal 2018, and decreased as a percentage of revenues to 69.2% from 69.5% during this period. Gross margin for fiscal 2019 increased to 30.8% from 30.5% in fiscal 2018. The increase in gross margin for fiscal 2019 was primarily due to lower non-payroll and labor costs as a percentage of revenues compared to fiscal 2018.

Sales and Marketing

Sales and marketing expense for fiscal 2019 increased $251 million, or 6%, over fiscal 2018, and increased as a percentage of revenues to 10.3% from 10.2% during this period.

General and Administrative Costs

General and administrative costs for fiscal 2019 increased $164 million, or 7%, over fiscal 2018, and remained flat as a percentage of revenues at 5.9% during this period.

Operating Income and Operating Margin

Operating income for fiscal 2019 increased $406 million, or 7%, over fiscal 2018.

Operating income and operating margin for each of the operating groups were as follows:

	Fiscal				
	2019		2018 (1)		
	Operating Income	Operating Margin	Operating Income	Operating Margin	Increase (Decrease)
	(in millions of U.S. dollars)				
Communications, Media & Technology	$ 1,555	18%	$ 1,380	17%	$ 175
Financial Services	1,238	15	1,365	16	(128)
Health & Public Service	739	10	766	11	(27)
Products	1,720	14	1,664	15	56
Resources	1,053	16	724	12	330
TOTAL	$ 6,305	14.6%	$ 5,899	14.4%	$ 406

Amounts in table may not total due to rounding.

(1) Effective September 1, 2018, we adopted FASB ASU No. 2017-07, Compensation-Retirement Benefits (Topic 715): Improving the Presentation of Net Periodic Pension Cost and Net Periodic Postretirement Benefit Cost. Certain components of pension service costs were reclassified from Operating expenses to Non-operating expenses. Prior period amounts have been revised to conform with the current period presentation.

We estimate that the aggregate percentage impact of foreign currency exchange rates on our operating income during fiscal 2019 was similar to that disclosed for revenue. The commentary below provides insight into other factors affecting operating group performance and operating margin for fiscal 2019 compared with fiscal 2018:

- Communications, Media & Technology operating income increased primarily due to revenue growth and higher contract profitability.
- Financial Services operating income decreased as higher consulting contract profitability and revenue growth were offset by higher operating expenses as a percentage of revenues.